

industry operates today. The blunt fact is that funds are organized, operated, and managed to benefit their advisers.

So what's to be done? Shareholder education is painfully slow, yet time is money. The conglomerates that dominate the industry today will not soon accept eroded returns on their own capital, nor will they willingly return their profits to their clients. So I see no recourse but to demand that the governance of mutual funds comports with precisely what the 1940 Act demands: a largely independent board of directors that is beholden, first and foremost, to the shareholders who elect it.

That structure exists, but it doesn't operate that way. Contrary to the Act's language, the adviser controls the fund. So we must eliminate the blatant conflict of interest that exists when the chairman of the fund board is the same person as the chairman of the management company board. (As Warren Buffett says, "Negotiating with one's self seldom produces a barroom brawl.") For the same reason, we need a board *wholly* independent of the manager. (The requirement that 75 percent of the directors must be independent is a good beginning. But at Vanguard, our external advisers have *zero* board representation, obviously without adverse consequences for our shareholders.) SEC regulations already require an independent legal counsel and a chief compliance officer for the funds themselves, and I strongly favor, at least for the larger fund complexes, a *fund* staff, responsible to the board, that provides the board with objective and unbiased information on fund costs, performance, marketing, and the like. Note those key words: *objective* and *unbiased*. What a breath of fresh air that would be!

Of, By, and For the Shareholder

What I'm ultimately looking for is an industry that is focused on stewardship—the prudent handling of other people's money solely in the interests of our investors—an industry that is *of the shareholder, by the shareholder, and for the shareholder*. We need a mutual fund industry with both *vision* and *values*: a vision of fiduciary duty and